

Date: 4 October 2017

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Dear Gunalan

Subject: Staff Manual of PSA Marine Qalhat SAOC (Company)

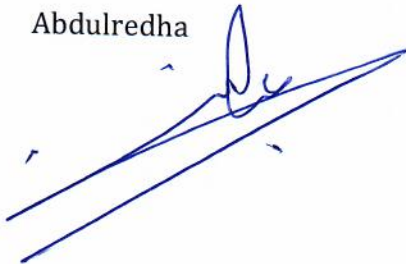
Please find enclosed the final version of the revised Company's Staff Manual.

We have reviewed the provided English translation of the Staff Manual and arranged it to comply with the Arabic version.

Our review to the Manual Staff is limited to documents received from your end and therefore, any missing parts are not covered from our side.

Kind regards

Abdulredha



Regulation of Employment, Disciplinary and Grievance of

P.S.A Marine

Qalhat

STAFF MANUAL

P.S.A Marine
Qalhat
Staff Manual
CONTENTS

MAIN CHAPTERS

CHAPTER 1

Recruitment and Appointment

CHAPTER 2

Probation and Confirmation

CHAPTER 3

Working Hours and Attendance

CHAPTER 4

Conduct of PSAM Qalhat Employees

CHAPTER 5

Termination, Retirements, Resignations and Dismissals

CHAPTER 6

Grievance and Dispute Resolution

CHAPTER 7

Staff Payment and Benefit Policy

CHAPTER 8

Performance Management and Discipline

CHAPTER 9

Transport and Travel

CHAPTER 10

Work Environment

ANNEXES

ANNEX A TO CHAPTER 4

P.S.A Marine Qalhat Code of Business Conduct

ANNEX B TO CHAPTER 6

On-board Complaint Form

ANNEX C TO CHAPTER 6

INTRODUCTION

TERMS OF USE

This staff manual serves to guide all employees of PSA Marine Qalhat SAOC ("PSAMQ") pertaining to human resource policies and practices.

The contents of this manual shall apply to all PSAMQ employees. When in doubt, they should direct their queries to General Manager of PSAMQ ("GM PSAMQ"). As benefits are discretionary in nature, the terms and conditions of recruitment are in line with the prevailing Omani Labour Law.

All PSAMQ employees are deemed to have read, understood and agreed to the contents of this manual forming part of the terms and conditions of their recruitment with PSAMQ.

This Manual is a sole property of PSAMQ and is meant for use by its staff only. This manual and any part thereof shall not be reproduced and distributed to anyone who is not an employee of the company, without the prior written approval of GM PSAMQ. The Company may amend, alter or cancel any of these terms and conditions through periodic reviews or as PSAMQ deems necessary at its own discretion within the provisions of the Omani Labour Law.

DELEGATION OF AUTHORITY

The manual provides a guide and reference for PSAMQ managers and it is important for PSAMQ managers to consult GM PSAMQ prior to any decisions on staff matters. GM PSAMQ may delegate authority to PSAMQ managers and empower them to carry out duties and responsibilities effectively. PSAMQ managers must always bear responsibility of their own actions and decisions. The delegation of tasks and duties to their subordinate staff, will not absolve them from the ultimate responsibility of leadership and supervision over the sections under their charge.

CHAPTER 1 - RECRUITMENT AND APPOINTMENT

RECRUITMENT OBJECTIVE

1. PSAMQ strives to be an "employer of choice" in its industry cluster and therefore it undertakes necessary efforts to source and recruit talents who are able to contribute to the continued growth and success of the business development.

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CHAPTER 2 - PROBATION AND CONFIRMATION

PROBATION

1. In accordance with the letter of appointment, all PSAMQ employees are required to undergo a probationary period of 3 monthsⁱ. During the first 3 months of employment and prior to confirmation, either party may terminate the services by giving at least 1 week's written noticeⁱⁱ.
2. If employment is terminated by either party without any notice or without waiting for the expiry of notice which has already been given, the party terminating the contract of employment shall pay to the other party a sum of emoluments (based on total basic salary) due in lieu of the notice or part thereofⁱⁱⁱ.

CONFIRMATION

3. Prior to the completion of the probationary period, the PSAMQ manager in charge of the respective employee would have to complete the performance appraisal form at least 2 calendar weeks prior to the expected confirmation date of the particular employee, and return the completed form to GM PSAMQ for approval .

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CHAPTER 3 - WORKING HOURS AND ATTENDANCE

WORKING HOURS

1. For the employees working on 5 days in a week, the working period is from Sunday to Thursday, 8 hours per day with a total of 40 hours per week^{iv}. Friday and Saturday are official rest days. The daily working days start from 08:00hrs to 17:00hrs including an hour lunch break between 13:00hrs to 14:00hrs.

ATTENDANCE

2. All PSAMQ employees shall regularly attend on time and be punctuality with attendance, and all employees shall make known their whereabouts to their managers. Absence without official leave, failure to provide valid reasons or to inform the managers in advance will result in disciplinary actions taken against the contravening employees.

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CHAPTER 4 - CONDUCT OF PSAMQ EMPLOYEES

PSAMQ CODE OF BUSINESS CONDUCT

1. All PSAMQ employees shall observe and comply with PSAMQ Code of Business Ethics and Conduct (Annex A) and the conditions stipulated in Employment contract. Furthermore, all employees must declare any personal business activities and/or engagements that may directly or indirectly result in potential conflict with the PSAMQ's business principles. The Whistle-Blowing Policy can also be found in the Appendix of the PSAMQ Code of Business

Page 3

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PSAMHR-0714

Conduct. If in doubt, PSAMQ employees should seek clarification from their respective managers or GM PSAMQ.

SMOKING, ALCOHOL AND BANNED DRUGS

2. Smoking is not permitted at all PSAMQ and Oman Liquefied Natural Gas Company (**OLNG**) work premises or properties except in areas which are designated for this purpose. These areas will be clearly marked and will normally be in open areas outside the offices. The possession and/or distribution of illegal drugs or psychotropic substances is strictly prohibited whether within PSAMQ and OLNG premises or outside. Any violation will result in disciplinary measures taken against the contraveners and may lead to termination of employment. The misuse of prescription drugs whether on or off PSAMQ and OLNG premises may result in disciplinary action taken against the offenders including termination of employment. Alcohol possession, use or distribution at work will result in disciplinary measures taken which may include termination of employment. For avoidance of doubt, PSAMQ premises and property shall include its tugs and this clause will apply to conduct of employees onboard the tugs.

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CHAPTER 5 – TERMINATION, RETIREMENTS, RESIGNATIONS, AND DISMISSALS

RESIGNATION

1. The employee may resign from service and would be expected to comply with the notice periods and prepare a detailed list of his duties, ongoing assignments and outstanding issues for follow-up in the process of handing-over. PSAMQ managers will be required to conduct an exit interview with the employee.

TERMINATION OF SERVICE

2. The employee contract will be terminated when an employee chooses to resign from PSAMQ or PSAMQ decides to terminate the service of an employee. In either case, either party shall be advised about this decision in writing at least one month (30 days)^v in advance of his decision to terminate the employment contract. If termination agreement by either party is served without any notice or on a shorter notice than required, the party terminating the agreement shall pay to the other party the equivalent of the gross monthly salary^{vi} of the notice period or the remaining part thereof.

3. PSAMQ may terminate the service of an employee without assigning any reason as long as the minimum required notice mentioned in paragraph 2 above is given to him.

4. PSAMQ may terminate the service of an employee due to disciplinary as per Labour Law and Staff Manual approved by the Ministry of Manpower (**MOM**) and/or medical grounds. PSAMQ may terminate the employment of an employee who does not comply with the policies and rules of the company, or is involved in illegal activities or acts of misconduct.

a) Poor Work Performance

Employees who have been subjected to disciplinary measures and have not shown improvement in work performance.

b) Non-Fitness For Duty

In case a decision is made by the competent medical board that an employee has been found to be medically unfit to continue with employment, the company shall terminate the employment contract of the concerned employee in accordance with the provisions of Social Insurance Law. PSAMQ will recover outstanding dues if any owed to PSAMQ by the employee in question.

DISMISSALS

5. In accordance with the Labour Law, the employee shall face summary dismissal without prior notice and without payment or gratuity or other associated benefits that may be due if he or she commits any of the following^{vii}:

- If an employee has assumed a false identity or has committed forgery or behaved in a deceitful manner in order to secure employment with PSAMQ
- If an employee due to negligence commits an action or actions that result in significant loss to the PSAMQ's property, assets or income
- If the employee flagrantly ignores or fails to comply with the statutory Health and Safety and Environment instructions and regulations
- If an employee has been absent from work for more than ten days without permission from PSAMQ in any given year or more than seven consecutive days provided that such dismissal is preceded by a written notice to the employee from PSAMQ after his absence for five days in the first case
- If any employee violates any part of Chapter 4
- If a final judgment has been passed against the employee for an offence or misdemeanor for breach of honour or trust or for a misdemeanor committed in the workplace or during the course of the work.
- If the employee is found during the working hours to be in a state of drunkenness or under the influence of a drug or psychotropic substances.
- If the employee assaults any manager or if he commits a grievous assault on any of his seniors in the course of the work, or because of it, or if he assaults one of his colleagues in the workplace by hitting him and as a consequence thereof, sickness or delay from work for a period exceeding ten days ensues.
- If the employee commits a gross breach of his obligation to perform assigned work within his work role.

DISCIPLINARY ACTION & PROCEDURE

6. Guidelines for business conduct and personal conduct expected of an employee are outlined in Chapter 4. An employee who contravenes the Code of Conduct is liable for disciplinary action which could result in termination of service in accordance with the law and disciplinary procedure regulation approved by the MOM. Misconduct in some of these areas may constitute a criminal offence for which the employee may be liable for criminal proceedings being instituted against him.

7. The disciplinary procedure for PSAMQ will be applied on the following basis:

- After an offence is committed, PSAMQ managers will investigate the case.
- PSAMQ managers will consider the nature and gravity of the offence, its consequences and the employee's past service record in order to determine the appropriate disciplinary action to be taken against the employee. For Serious and Very Serious Offences, the manager has to seek GM PSAMQ's approval on the disciplinary action to be taken.
- PSAMQ managers will inform the employee of the action taken.
- The action taken will be recorded in the employee's personnel record file.
- GM PSAMQ or PSAMQ managers will monitor and review the employee's performance every three months for any employees who have been disciplined for poor work performance/conduct/attitude.

8. The range of disciplinary actions that may be taken against an employee for committing less serious, serious and very serious offences are shown in the table below:

Violation	Action	Remarks
Ordinary violations (Action approved by Functional Manager)	Verbal reprimand	For first or occasional contraventions.
	Written reprimand i.e. advice, caution or warning	For repeated contraventions.
		Recalcitrant offenders may be dealt with more severely and actions taken may be those normally applicable to serious violations.
Serious violations (Action approved by GM PSAMQ)	Written reprimand i.e. warning, final warning AND • Deduction of wage payment up to 5 days^{viii}; or • Suspension from service for up to 5 days	
Very serious violations (Action approved by GM PSAMQ)	• Suspension from service for up to five days or deprivation of all or part of his salary for a period of up to five days for a single violation. In all cases the suspension or deprivation of all or part of the salary shall not exceed five days in one month; or • Termination of service as per the law provisions.	

RETIREMENT

10. The compulsory retirement age of PSAMQ shall be 55 for female and 60 for male employees^x according to statutory requirements. However, early retirement may be accepted with the written consent of GM PSAMQ. As a practice, it is recommended for managers to engage and converse with the concerned employees at least 6 months' prior to retirement.

RETRIEVAL OF PSAMQ PROPERTIES

11. Before any of the employees leave PSAMQ service for whatever reason, managers should write to the employee reminding him to return all PSAMQ properties handed to him. The letter of acceptance of resignation with this reminder should be copied to the GM.
12. There should be a record of the PSAMQ properties issued to the employee and the various system access granted to him during his employment with PSAMQ. Managers should refer to the record to ensure that the properties are returned and the system access cancelled as soon as possible.
13. Managers should instruct any officer to collect all the properties belonging to PSAMQ either on the last day of the employee's service or on the day before he proceeds on vacation leave prior to leaving service.

CERTIFICATE OF SERVICE

14. At the request of an employee who resigns or retires from PSAMQ's service, his line manager may issue him a Certificate of Service.

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CHAPTER 6 – GRIEVANCE AND DISPUTE RESOLUTION

1. A grievance can be defined as any work-related dispute arising out of the interpretation, application, administration or alleged violation of the specific terms of the employment contract or company policy.

GRIEVANCE PROCEDURE

The employee shall have the right to appeal any issued decision imposing penalty within three days from the date of such decision. The grievance shall be submitted to the decision issuer, provided that the decision must be considered and decided within seven days from the date of the submission.

Stages of filing the grievance:

Step 1

Complaints should be addressed to the line manager, provided that the response shall be served within two days.

Step 2

If the line manager did not respond to the employee or the response was unacceptable, the employee shall have the right to send his grievance to the Human Resource Manager (HR Manager) provided that the response must be given within two days.

Step 3

If the HR Manager did not respond to the employee or the response was unacceptable, the employee shall have the right to send his grievance to the establishment's GM provided that the response must be given within three days.

Step 4

The employee shall have the right to seek the competent department at MOM after seven days of the stated grievance period provided in the law, if nobody has given any response or the response was unacceptable.

The employees may send their complaints directly to PSAMQ GM.

Please refer to Annex (C) for the complaint procedures.

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CHAPTER 7 – STAFF PAYMENT AND BENEFIT POLICY

SALARY GROUPS AND SALARY SCALES

1. PSAMQ's salary structure is based on a series of salary scales which conform to various job levels and will be completed and tabled as follow.

Job Level	Job Grade	Designation	Basic Salary	Accommodation	Transport	Living allowance
General Manager	E	General Manager	1,200 – 3,000	100 - 250	150 - 300	100-200
Administrative Managers	D	Finance Manager, QHSE Manager, Technical Superintendent	1,000-2,200	100 - 400	100 - 400	50 – 200
Deputy Managers / Assistant Managers	C	Assistant Engineer	500 -1000	100 - 200	100 - 200	100 – 200
Senior Executives / Executives	B	Technical Engineers, Operation Manager	500- 1,000	100 - 200	100 - 200	100 – 200
Administrative Staff	A	Public Relations Officer	250 - 500	50 – 200	50 – 200	50 – 100
Expatriate Masters and Chief Engineers	3	Tugboat Master, Chief Engineer	700 – 1,000	100 – 200	100 – 200	100 – 200
Chief Mates and 2 nd Engineers	2	Chief Officer, 2 nd Engineer	350 – 750	50 – 200	50 – 200	50 – 150
Able Bodied and Cooker	1	General Purpose Seaman, Cooker, Trainers	225 – 300	50 – 100	50 – 75	25 – 75

Remark:

The above scales of wages and allowances considered as a beginning package engaged with the company. If they are in contradiction with the employment contract, better options to the employees will be applied given that the Manual is a complementary to the employment contract. The company also may amend the wages to better scales in which it is more beneficial to the employee and taking into account the increase of the basic salary in accordance with the Ministerial Decree no. 222/2013 provided that there should be no amendments to the staff allowances granted prior the issuance of this decision.

In regards to the expatriates, allowances will be paid up to the maximum limit allowed in their job grades agreed between PSAMQ and the employee. [The next text does not appear correctly in the Arabic version]

2. Any other allowances will be reviewed from time to time and will be personal to holder.
3. All employees engaged by PSAMQ shall open a Bank account, either current or savings into which PSAMQ shall remit by direct credit salaries, allowances and/or any monetary entitlements as deemed appropriate.
4. Payment of employees' gross salaries shall be paid every 25 or more from each month.

OVERTIME

Article (26): the establishment requires the employee to work for additional hour if he agrees in writing. Such overtime shall be each work assigned to the employee after the normal working hours, during Eid holidays or holidays.

Article (27): the employee will be instructed in writing to work for additional hours by the establishment. Such instruction shall contain additional working hours and days. However, the normal and additional working hours shall not exceed 12 hours in a day. Copy of the written instruction must be handed to the employee. The employer may not strictly comply with the actual working hours as per Articles 68 and 69 of the Labour Law in the following events:

1. At the time of annual inventory, preparation of the balance sheet, liquidation, closing of accounts and preparation for sale at discount. Provided that in such case the number of working days during which the worker works for more than the prescribed period of a working day shall not exceed fifteen days in a year unless the relevant directorate approves longer periods;
2. If the work is for the prevention of an accident or reparation of the results thereof or the avoidance of a definite loss of perishable materials;
3. If the work is intended to meet an unusual pressure;
4. The notification of the relevant directorate within twenty four hours is conditional in the last two cases and the emergency, the additional work and the period required for completion of the work shall be stated; and
5. The seasons, events and seasonal works defined by a decision by the minister.

Article (28) The employer shall grant the employee, in respect of the cases provided for in the preceding, an extra wage equivalent to his basic salary against the additional working hours plus 25% at least for daytime working hours, and 50% for night time working hours. The weekly rest or official holidays, unless compensated with another day, be entitled to double salary for such a day, unless he is granted another day in lieu thereof in agreement with the employee.

Article (29): the establishment shall pay to the employee, against the additional hours, extra wage in accordance with Articles (70) and (73) of the Omani Labour Law no. 35/2003 and amendments.

Article (30): the employee shall work provisionally for additional hours if the work necessarily requires that.

Article (31): in the events where the employee stays in the mines and quarries working premises for more than eight hours for the purposes of preventing accidents or threats, fixing any damages resulting from such accidents or threats, preparations or maintenance, the employee shall be entitled for extra wage equivalent to his salary against the additional working hours plus at least 50% if the work has been carried out after 6:00 AM and 100% if the work has

been carried out after 6:00 PM. However, the employee shall be entitled for wage equivalent to his salary plus 100% against the additional carried during each day within the weekly rest.

LEAVE ENTITLEMENTS

ANNUAL LEAVE

7. All employees who are working five (5) days per week earn 2.5 days of leave per month equal to a total of 30 working days^x of every twelve month period of employment. Leave calculation will be pro-rated in case the employee has been employed for less than a full twelve calendar year.
8. The employee shall not be entitled to his annual leave unless he completes at least six months^{xi} from the joining date with PSAMQ. Subject to approval of PSAMQ managers, an employee may be allowed to proceed on leave during the calendar year even if he has not earned the leave. The value of any availed unearned leave shall be deducted from the employee's salary at the date of final departure or termination of employment.
9. Employees are allowed to carry over leave days of each year to the following year provided that the employee shall go on leave at least for two weeks every two years. Management may however exercise an exception to this rule for certain individuals based on critical operational requirements in accordance to the Labor Law.
10. If an employee has outstanding leave days on final departure, leave entitlements will be paid accordingly.

EMERGENCY LEAVE

Article (63): The employee will be entitled to an emergency leave up to 6 days^{xii} in a year provided that: :

- 1) the employee absence is due to unexpected casual event that is out of his control and may not be initially disclosed;
- 2) the emergency leave shall not exceed two consecutive days on each time of absence;
- 3) the employee, if possible, shall provide anything proves the emergency casual kept him absent to work; and
- 4) the employer must immediately be notified once the emergency event is due.

Article (64): upon his discretionary power, the employer shall have the right to assess the emergent reason.

SICK LEAVE

11. **Article (64)** Subject to Law of Social Insurance, the employee who proves his sickness will be granted sick leave not exceeding 10 weeks in the calendar year, irrespective of whether it is divided or continuous. However, salary payment to the employee during such leave will be as follows :

- 1st and 2nd Week: Full gross wage
- 3rd and 4th Week: Three-quarter of gross wage
- 5th and 6th Week: Half of gross wage
- 7th to 10th Week: One-quarter of gross wage

The employee may exhaust his annual leave besides the sick leave he is entitled to.

Article (65) A female employee shall have the right to a special fifty-day maternity leave covering the periods before and after delivery with full salary for not more than three times during her service with the employer. However, the employer and employee will agree on any later maternity leaves.

HAJI LEAVE

13. Omani employees are entitled to Hajj leave of 15 calendar days^{xiii} with full pay after completion of one year of employment with PSAMQ. This leave is granted only once during the employee's service with PSAMQ. Individuals availing of such leave must produce written approval from the competent Government authorities before the leave is granted.

SPECIAL LEAVE

14. Compassionate leave with pay is granted to employees in case of death, critical illnesses or injury of the employee's immediate family. No such leave is granted if:

- Days coincide with official public holidays;
- When an employee is on normal annual leave; and/or
- Incident coincides with Fridays/Saturdays.

On the other hand if such days as above exceed the granted special leave, appropriate day/s will be allocated as required.

15. Duration of Special Leave^{xiv} shall be as specified as below:

- 3 days granted on the death of spouse, any of the children, parent, grandparent or siblings. Certified proof of passing is required to be produced.
- 2 days granted on death of uncle or aunt. Certified proof of passing is required to be produced.
- 130 calendar days are granted as "Edda days" to female Muslim employees in the event of death of a spouse.

16. Employees may wish to take additional special leave days. However, any days taken outside the above policy must be agreed with their respective PSAMQ managers and will be deducted from their earned annual leave. The employee will be required to produce appropriate documentations/proof for the special leave request.

17. All leave applications must be submitted by using the standard PSAMQ leave application form and endorsed by the respective PSAMQ managers and then submitted to Human Resource/Payroll section for processing and records keeping. It is mandatory for all employees to submit duly completed company leave form prior to proceeding on leave.

MATRIMONIAL LEAVE

18. Three days leave^{xv} will be granted for employees getting married and shall not be granted more than once throughout the period of employment.

PATERNITY LEAVE

20. Employee whose spouse has given birth to child/children shall be granted one day leave. Such leave will not affect any other leave entitlement of the employee.

PUBLIC HOILIDAYS LEAVE^{xvi}

21. PSAMQ will grant all public holidays considered by MOM based on the work requirements.

OTHER BENEFITS - MEDICAL CARE

22. PSAMQ aims to recruit and maintain a healthy workforce and it is therefore in PSAMQ's and employee's interest that adequate medical care is available to them.

23. Employee will be availed of medical care with PSAMQ appointed Medical Insurance Provider as per agreed terms of the medical provisions stipulated in the contract. For any further information regarding the above policy, employees should contact relevant personnel from Human Resource/Admin Section.

MOBILE PHONE ALLOWANCE

24. Based on job requirements certain employees may be compensated with mobile phone allowance. GM PSAMQ will identify positions which require having mobile phone allowance. A mobile phone allowance request form must be completed and approved by the GM PSAMQ for use accordingly.

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CHAPTER 8 - PERFORMANCE MANAGEMENT AND DISCIPLINE

THE INCREASE OF END OF SERVICE GRATUITY AND ANNUAL SALARY INCREMENTS

1. Allocation of reward for bonuses, allowances review and salary adjustments will be based on both individual performance and PSAMQ's business performance. The individual's performance will be gauged on the basis of Performance Management criteria that will be developed and issued separately. The Annual Appraisal exercise shall be issued to staff during November of each year.

2. 13th Month Salary: All employees will be granted a thirteenth month basic salary paid normally during the month preceding the month of Ramadhan. A proportionate pro-rata payment shall be made to employees who have not completed their year of continuous employment at the time when the payment is made or employee whose employment has been terminated but not for disciplinary reasons.

Periodic Allowances:

Article 36: without any prejudice to any better benefits entitled to the employee, the minimum periodic allowances shall be at rate of 3% of the basic salary allocated every January of each year.

Article 37: the employee is entitled for periodic allowance on the following basis:

1. that his period of service is not less than 6 months with the employer; and
 2. the employee shall not gain a Weak review in the annual performance report.
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4. If the employment relationship is terminated, the employer, shall in respect of the employees who do not benefit from the rules of the Social Insurance Law, pay to the employee an end of service gratuity equal to the salary of fifteen days for each year of service for the first three years and a one month salary for each year for the following years and the employee will be entitled to gratuity for the fractions of the year in respect of the period spent by the employee in service and the last basic salary shall be the basis for calculating the gratuity.

PROMOTION EXERCISE

- The establishment shall develop a sequential system of administrative and financial jobs as per to the establishment's commercial activities.
- The establishment shall promote the employee from his current designation to a higher one in accordance with the sequential system of the jobs classifications or financial divisions and the designated time frame, provided that the employee shall be furnished with all the job or financial facilities.

Article 39 the employee may be:

1. Promoted to another administrative position which requires transferring the employee from a job grade to another higher one containing more duties and responsibilities and several facilities.
2. Promoted financially which requires increase the employee's salary under the same job grade.
3. Promoted exceptionally under particular rules adopted by the company on this regard.

Article 40: The employee shall be eligible for promotion to a higher administrative position if the below conditions are satisfied and they are as follows:

- A. If a vacancy of the higher position is available;
 - B. If the qualifications of the candidate were met for the promotion;
 - C. Practical experience and individual skills;
 - D. Medically fit;
 - E. Shall not be convicted in a felony or misdemeanor for a breach of honor committed in the working premises or during the working hours.
- The employee shall be promoted to a financial grade equivalent to the following administrative position of his current position, if there was no available administrative vacancy.

Article 41:

If the promotion conditions of the higher position were met in more than employee, then the choice will be decided in accordance to the following criteria:

1. Who has obtained higher review result;
2. Who has obtained higher academic certificates;
3. Who has done more trainings;
4. Who has more years of experience;
5. Who is older;
6. If it has been found that the competitors have matched the above criteria, they will be subjected to a fair test. The employee gaining highest result will be promoted.

The employee is entitled in all cases for wages, allowances and facilities of the promotion from the date of such promotion, provided that it shall not affect his entitlement of the periodic allowance within the date prescribed by the law and applicable ministerial decision.

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CHAPTER 9 - TRANSPORT AND TRAVEL

BUSINESS TRAVEL POLICY

1. The policy outlines the provisions for travel and living expenses incurred by an employee travelling overseas on business. It aims to strike a balance between the employee's travel comfort and management of travel expenses. PSAMQ will reimburse the employee's travel expenses incurred in carrying out the assignments effectively but the employee is responsible for ensuring that expenses incurred are within reasonable limits.

2. The policy here applies to an employee on a business trip of not more than 30 consecutive days. It does not apply to an employee on expatriation terms or on short-term overseas assignments.

Booking of Travel Tickets

3. The GM PSAMQ as the case may be, will approve all overseas business trips and travel itineraries. Bookings will be done by employees and in making flight arrangements, employees have to choose the most suitable airlines and convenient to business travel plans.

4. The employee should ensure that there is sufficient time to apply for travel visas if these are required, so as not to jeopardise his travel plans. Visa application fees and airport taxes will be paid by the department/division requesting the travel. However, arrangements for the issue of and payment for the necessary passport will be the responsibility of the employees.

Class of Travel

5. PSAMQ Employees across job levels are to travel on Economy Class f. Any shipment of personal household effects for employees joining PSAMQ will be borne by themselves.

Expense During Trips

6. PSAMQ's policy is to ensure that employees are reimbursed transportation, accommodation and meals expenses within reasonable limits when they travel on behalf of PSAMQ. They will be compensated fairly for any hardship for being away from home during this period.

7. An employee will be reimbursed his actual expenses during an official trip including hotel accommodation and related taxes. He will have to produce original receipts for major expenses when he submits his Expense Claims within 1 month of his return to Oman. It is the responsibility of every employee to ensure that expenses incurred during travels are kept within reasonable limits.

8. PSAMQ will reimburse fully all official telephone calls or Internet connections for official correspondences. An employee is also allowed to make personal calls to his family during the business trip. However, reimbursement for all telephone expenses is subject to a reasonable sum being incurred. He can use his personal mobile phone, official mobile phone or hotel telephone service whichever is available and is the most economical means of communications.

ALLOCATION & USAGE OF COMPANY CAR

9. Staff shall make use of the available PSAMQ cars for essential company work. PSAMQ cars shall be kept at PSAMQ premises at all times unless expressly approved by GM PSAMQ for certain members of staff to drive them home after work.

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CHAPTER 10 - WORK ENVIRONMENT

LEARNING & DEVELOPMENT

1. PSAMQ's aims to train and develop its employees to attain and exhibit high professional levels of competencies in order to meet current and future challenges in an increasingly competitive and equally volatile business environment. In particular, PSAMQ will invest in the recruitment, training and development of Omani employees so that they acquire the necessary technical competencies to take up key technical and managerial positions.

2. PSAMQ will therefore incur all the relevant costs pertaining to employee training following firmed up learning needs against budget allocation. PSAMQ will run training programs for a selection of trainees to enable them to become competent tug masters and chief engineers. The training will be conducted predominantly on the job and also through the courses and training conducted by the International Maritime College of Oman. External Trainer from PSA Marine will also be engaged to conduct trainings on the tug with the trainees. Trainees will also have the opportunities for overseas exposure to learn the best industry practices.

ENVIRONMENT ISSUES

3. PSAMQ fully complies with local environmental laws and believes in long-term sustainable development. Investment decisions will only be made when the company is convinced, after taking into account all relevant feedback, that any environmental impact will be minimised.

TEAMWORK

4. Teamwork and co-operation are important aspects of the work ethics in PSAMQ. All employees should leverage on the dynamics of their collective skills, knowledge and experience to achieve the best results for the company and its customers.

5. All employees should work together in a constructive, open, honest manner to benefit all parties concerned.

DIVERSITY, DISCRIMINATION & HARASSMENT

6. PSAMQ has a diversified workforce. All employees are treated equally in accordance with the company rules and regulations. It does not discriminate against employees on basis of race, gender, religion or age at its workplace. It endeavours to create a work environment conducive to attract, retain and engage diversified talents.

7. Any complaints of sexual & racial harassment are taken seriously. An employee should report to the GM PSAMQ if he feels that he is being harassed. If he is aware of instances whereby a colleague is being harassed, he should also report the matter to GM PSAMQ immediately. All cases will be treated strictly confidential.

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ANNEX A **PSAMQ Code of Business Ethics & Conduct ("The Code")**

Applicability

The Code states how business should be conducted and sets out guidance on the standards of behavior expected of all PSAMQ employees, especially when faced with situations of illegal or unethical conduct.

Under The Code, all PSAMQ employees must comply with all laws and authorities; observe properly incurred duties to third parties and at all times act in accordance with the highest standards of ethical, personal and professional conduct. No PSAMQ employee may engage in illegal or improper conduct that would otherwise bring PSAMQ into disputes.

The Code is not intended to be exhaustive in covering the issues or situations that PSAMQ employee may face; neither does it replace more detailed policies and guidelines addressing more specific obligations related to your scope of responsibility.

It serves as a reference guide and supplements other PSAMQ policies and guidelines applicable to the appointment and situation of the employees. To use The Code, the employee is required to first read through and think about how it applies to his job. The employee must be specific and think in terms of how he might handle different situations to avoid illegal or unethical actions. Within The Code are questions intended to encourage open discussion and to deepen the understanding of what it means to adhere to The Code – which is “Doing what is right as well as righting what is wrong”.

PSAMQ recognizes and respects regional and local legal differences in employment, privacy and other applicable laws. Where such regional and local requirements are more stringent than the guidance distilled under The Code, they must be complied with. The employees must always consult Supervisors, Managers or contact one of the resources listed in The Code should they require any clarification.

Committing to The Code

Every PSAMQ employee is bound to The Code and must comply strictly with it at all times.

Violation of The Code will not be tolerated and violators will face disciplinary action in accordance with the Disciplinary Code approved by the MOM, which may include dismissal by PSAMQ. Where local laws are also breached, violators will be reported to the relevant authorities. In cases involving monetary losses, PSAMQ may pursue the recovery of such losses.

If any employee has an enquiry or report to make, he should contact the PSAMQ GM. All enquiries will be handled discreetly and every effort will be made to maintain the confidentiality of information within permissible legal limits.

Our Core Values

In all our relationships and actions, we choose to demonstrate our steadfast commitment to our corporate values:

Committed to Excellence

We set new standards by continuously improving results and innovating in every aspect of our business.

Dedicated to Customers

We help our customers, external and internal; succeed by anticipating and meeting their needs.

Focused on our employees

We work as a team by respecting, nurturing and supporting one another.

Our Responsibility to One Another

As PSAMQ employees, we expect you to do your utmost to create a respectful workplace culture that is free of accidents, harassment, intimidation, enmity, bias and unlawful discrimination of any kind. Not only are you not supposed to engage in behavior detrimental to peace and harmony in the workplace, you have a responsibility for the safety and welfare of your co-workers and should keep watch for them.

Teamwork

Teamwork and co-operation are important aspects of work ethics in PSAMQ. We build on our collective skills, knowledge and experience to achieve the best results for our customers, partners and PSAMQ.

Respect, Diversity and Inclusion

PSAMQ respects employees as unique individuals and supports the diversity of its workforce. PSAMQ does not discriminate against employees on the basis of race, gender, religion, age, disability, family status, sexual orientation, pregnancy or any similar attribute or condition.

Harassment is also a form of discrimination that creates an offensive, intimidating or hostile environment for others. It can be verbal, physical or visual (e.g. threats, acts of violence, intimidation) or of a sexual nature (e.g. involving unwanted advances, inappropriate touching or sexually suggestive comments).

PSAMQ prohibits all forms of discrimination and takes all allegations of harassment, including sexual and racial harassment seriously. Should you or anyone know of being subjected to any form of discrimination or harassment, please contact the GM immediately.

Ethical Conducts

Bribery and Corruption

You should always abide by the following rules irrespective of whether you are dealing with someone and whether they are acting in a professional or personal capacity:

- Never directly or indirectly offer or make any unauthorized, illegal or improper payments
- Never directly or indirectly attempt to include anyone to do anything illegal or improper
- Always report any knowledge or suspicion of unauthorized, illegal or improper payments being offered or received and
- Do not directly or indirectly offer, promise or accept any type of bribe, kickback, payoff or inappropriate gratification or advantage (whether in cash or in any form) to or from any person with the intention of influencing or inducing the person to assist PSAMQ in obtaining or retaining business or to gain any unfair advantage for PSAMQ or the person.

Gifts and Entertainment

Gifts, favours and entertainment are to be handled with caution. Accepting excessive gifts, favours and entertainment can affect business judgement and create expectations which are potentially affecting PSAMQ's reputation. Likewise, offering excessive gifts, favours, entertainments and or hospitality to others can be open to misinterpretation and give rise to liability for PSAMQ.

Business gifts, favours or entertainment may be provided on PSAMQ's behalf only if:

- They are consistent with generally accepted business practice and ethical standards
- They cannot be construed as bribes, kickbacks or corrupt inducements in any way, with regards to form, cost, the frequency of giving and the circumstances under which they are given.
- They are transparent and not concealed
- They do not violate the laws, regulations or policies of any country, public body or company involved and
- PSAMQ will not be embarrassed by its disclosure

In determining their propriety, the following factors are considered:

- Cost, frequency and timing
- Whether the setting is conducive to building a business relationship
- Reasonableness and proportionality to the business purpose
- Whether the gift, favour or entertainment is, or can be, fully visible to the management of the organisation whose employee or representative receives it.

Employees may accept small gifts that would be considered common business courtesies unless they are intended to or may appear to influence a business decision or gain a business advantage. Employees must demand for meals or entertainment. However, meals and entertainment may be accepted if the following are met:

- Occurs infrequently
- Arises in the normal course of business
- Can be considered a common business courtesy
- The expenditure is reasonable and
- The venue and settings are appropriate and fitting

Prior written approval must be sought from senior management for expenditure relating to gifts, privileges, hospitality or entertainment if the value thereof exceeds a reasonable sum. Such action must not be construed as an attempt by PSAMQ to exert improper influence on the recipients. Expenses must be properly recorded showing all the details of the relevant transactions involved.

When making charitable donations or contributing other community benefits on behalf of PSAMQ at the request of public officials or bodies, PSAMQ employees should make all reasonable efforts to conduct due diligence and satisfy themselves that the suggested arrangements are legitimate and in conformity with the local laws and policies.

PSAMQ has established internal controls, policies and procedures in an effort to deter, prevent and detect bribery, monitor compliance as well as provide secure, confidential and accessible means for internal and external parties to raise concerns about bribery on the part of associated persons and provide suggestions for improvement of procedures and request advice. PSAMQ takes a severe view of the bribery and will take all necessary disciplinary actions and other sanctions in response to any untoward conduct and or infringement of The Code including but not limited to termination of employment.

Alcohol and Drugs

The use, possession, distribution, purchase or sale of alcohol, drugs or psychotropic substances (excluding medicine) by any person while on company premises, or while operating company equipment, is prohibited.

Any person under the influence of alcohol, drugs or psychotropic substances is prohibited from entering company premises, engaging in company business or operating company equipment. Any use of alcohol, drugs or psychotropic substances that causes or contributes to unacceptable job performance or unusual job behavior is prohibited. Where allowed by law, the company may conduct searches and test for alcohol, drug or psychotropic substances use, if necessary.

Personal Integrity and Responsibility

Confidential information

All information are maintained confidential in PSAMQ to ensure full accountability.

The use of company information for personal gain, directly or indirectly, is strictly prohibited and may constitute a serious criminal offence. Confidential information may only be disclosed outside of PSAMQ by authorized PSAMQ employees. When in doubt, the employee shall consult the GM for clarification on how to handle confidential or other sensitive information.

PSAMQ may obtain information to keep up with developments in the relevant industry. Any such information is to be obtained only through honest, ethical and legal methods as authorized by the management.

Fraud

PSAMQ maintains a zero tolerance stand towards any of its employees being involved in fraud. It will also not tolerate fraud by vendors, customers or partners, which adversely impacts PSAMQ reputation. Fraud can be defined as intentional deception, misappropriation of resources or manipulation of data to the advantage or disadvantage of a person or entity.

PSAMQ has established internal controls, policies and procedures in an effort to deter, prevent and detect fraud. All employees have a duty to promptly report any concerns which they may have about a possible fraudulent activity on the part of any employee, vendor or any other party associated with PSAMQ. Such concerns should be reported to the immediate supervisor or the GM.

All reports will be treated in confidence and will be promptly and thoroughly investigated. Where there has been a serious allegation of fraud, corruption or bribery, PSAMQ will notify and fully cooperate with the appropriate law enforcement agency in any investigation. PSAMQ will, where necessary, take appropriate disciplinary actions including dismissal in accordance with the Labour Law.

Integrity of Accounts

At all times, records must comply with recognised accounting standards and financial transactions must be executed only in accordance with management's authorization and all relevant finance directives. No payment shall be requested, approved or made with the intention that any part of any such payment will be used for any purpose other than as described in the document supporting it.

Social Media

PSAMQ employees are fully responsible and accountable for all content posted on, or other contributions to, social media and messaging platforms, including but not limited to Facebook, YouTube, Twitter, Whatsapp, Internet forums and blogs.

Every employee must comply with the following:

Before posting content online, staff should ensure that the content or opinion:

- Is not in any way confidential and/or commercially sensitive.
- Does not include anything related to the operational aspects of their work at PSAMQ.
- Does not include the PSAMQ logo, brand or trademarks that will be detrimental to PSAMQ in any way.
- Will not directly or indirectly cause damage or place a liability, potentially or otherwise, to or on PSAMQ, its management, staff, customers, partners, competitors and any other stakeholders.
- Should be based on facts and must be in compliance with all laws.
- Must not be misleading, deceptive, offensive, slanderous, defamatory, seditious or obscene.
- Must not impinge on another's race, culture, ethics, morality or religion, whether illegal or otherwise.

If employees come across inappropriate, false or negative comments, pictures, videos and/or audio contents online:

- Posted by someone else in the employee's personal social media channel, they should take ownership by removing it immediately.
- Posted by co-workers in the employee's personal social media channel, they should also report the issue to the GM for further investigation.
- About PSAMQ posted on public websites, employees should not respond to the content but should report the incident immediately to the GM.

PSAMQ reserves the right to request employees to remove postings which are deemed negative or damaging to PSAMQ, its staff, customers, partners, competitors and any other stakeholders.

Political Activities

PSAMQ is an independent business organization, and has no political affiliations whatsoever in the countries where it operates. However, when the need arises, PSAMQ reserves the right to make its position known on issues that impact its businesses, shareholders, partners and customers.

PSAMQ employees may exercise their right to take part in politics as long as there is no conflict of interest with PSAMQ. However, any decision to become involved is entirely personal and voluntary.

Employees must not pass off political views as those of PSAMQ's and PSAMQ must not in any way be made accountable or responsible for any statements made or activities carried out by employees in their personal capacity, or any consequences arising out of such statements or activities. Employees cannot make use of company assets and resources for personal activities in support of political lobbying of any political party.

Whistle Blowing

As a part of our commitment to uncompromising integrity, PSAMQ has established the Whistle Blowing policy for its employees, business partners and others to report any concerns they may have in regard to compliance with The Code, or the laws and regulations that govern PSAMQ's business.

The policy seeks to protect a person who in good faith without any personal agenda reports a misconduct or malpractice, from any form of disadvantage. It is important that the individual communicates the question or concern through contacting the GM or Singapore Headquarters.

The objective of the whistle blowing policy is to provide a channel for employees and external parties to bring to the attention of the Audit Committee any misdeeds or improprieties committed by the management or staff of the company.

Scope of Whistle Blowing Policy

Any activity or conduct or omission by an employee of PSAMQ or any auditing firm providing external audit services and all other vendors providing services/products, relating to accounting, internal controls, internal accounting controls or procedures that are questionable or not in accordance with generally accepted accounting and industry practices, or not in line with The Code, shall be deemed as possible improprieties.

This will include but not be limited to:

- Fraud or suspected fraud, thefts and dishonest acts.
- Profiteering as a result of insider knowledge.
- Accepting or giving bribes.
- Intimidation, discrimination or harassment of staff and other persons during the course of work or in the capacity of a PSAMQ employee.
- Misappropriation of funds.
- Disclosure of confidential information to outside parties.
- Conflict of interest in business dealings with external parties or involvement in prohibited activities (refer to The Code).
- Only disclosed reporting (i.e. disclosure where the whistleblower identifies himself/herself) will be handled and investigated. Disclosure can be from both internal and external parties.

PSAMQ will evaluate a disclosed report upon receiving it, regardless of amount and form.

For matters which are out of the scope of disclosure described above, the whistleblower would be informed that the matter is out of scope.

Channel & Structure for Whistle Blowing

All PSAMQ employees have a duty to report concerns which they may have, based on reliable and verifiable information provided to them, about possible misdeeds or improprieties committed by staff/ management of the company, or by vendors, which can adversely impact the interest of PSAMQ.

The channels for reporting such concerns or matters include, where appropriate:

- Immediate Supervisor
- General Manager

The reporting could be via telephone, email, post mail or fax. The appropriate channels will be used to protect the whistle blower. All matters reported will be forwarded for further investigation which will include but not limited to the following:

- The receiving and recording of matters reported.
- The evaluation and assessment of the matter to establish whether or not to investigate further.
- The investigation itself, unless direction on the investigation is deemed necessary to be provided by Investigation Team.
- The preparation / review and endorsement of the investigation report, including recommendations on follow-up actions.
- Annual review of policy and recommendation of enhancements.

All matters reported will be reviewed within a reasonable time frame and a decision taken on whether to proceed with a detailed investigation. Guidance/direction will be sought from Singapore PSA Marine Headquarters where necessary.

Where the matter reported involves senior management, fraud, misappropriation of funds or bribery, Singapore PSA Marine Headquarters must be informed immediately.

Protection for Whistleblower

The company provides assurance that the whistleblower's identity will be kept confidential unless such disclosure is required by the court or other regulatory authorities. The company will not tolerate victimization of the whistleblower, and disciplinary action will be taken against those who victimize the whistleblower. Assurance that the employment of the whistleblower will be protected will be provided even if the claim of malpractice proves to be erroneous provided the report has been made in good faith. However, reporting with malicious intent will not be tolerated.

Protection for Company and Whistleblowee

Information pertaining to the whistleblowing case will be kept confidential and restricted to designated officers in charge of the investigation. This is to prevent unnecessary leakage of information which could result in potential law suits if there is insufficient evidence to support the case. The company will ensure there are sufficient facts and evidence to support the action/decision to be taken against the whistleblowee, and that the evidence is sufficient to stand up to cross-examination / scrutiny in the courts. The company will also ensure that all whistleblowees will not be convicted of any wrongdoing or be unduly penalized until the facts of the case are proven to be genuine and sufficient evidence is in place to support the case.

REFERENCES

ⁱ Oman Labour Law (2003), Article (24).

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ⁱⁱⁱ Oman Labour Law (2003), Article (37).

^{iv} Oman Labour Law (2003), Article (68).

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^{vii} Oman Labour Law (2003), Article (40).

^{viii} Oman Labour Law (2003), Article (31).

^x Oman Labour Law (2003), Article (61).

^{xi}

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^{xiii} Oman Labour Law (2003), Article (67).

^{xiv}

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^{xvi} Oman Labour Law (2003), Article (65).

Violations Related to Work Time

Violation Type	The penalty grade and deduction rate of daily wage				Remarks
	First time	Second time	Third time	Fourth time	
Firstly: Violations relating to work time: 1. Attending late after 15 minutes without permission or acceptable excuse, (if the delay does not disrupt other employees).	Written warning	5%	10%	20%	the employee will not be accountable if the company transport him from his place of residence to his work premises.
2. Attending late after 15 minutes without permission or valid excuse, (if the delay disrupts other employees).	Written warning	15%	25%	50%	In case of violations relating to the delay in attending to work or leaving work premises before checkout time without permission or valid excuse, the employee shall not be entitled for the wages of hours actually worked, as well as the punishment prescribed for attending delay to work or leaving the work place without permission or acceptable excuse.
3. Attending late to more than 15 minutes and up to 30 minutes from the attendance time without permission or valid excuse, (if the delay does not disrupt other employees).	10%	15%	25%	50%	
4. Attending late for more than 15 minutes and up to 30 minutes from the	15%	25%	50%	Whole day	

attendance time without permission or acceptable excuse, (if the delay disrupts other employees).					
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Violation type	The penalty grade and deduction rate of daily wage				Remarks
	First time	Second time	Third time	Fourth time	
5. Attending late for more than 30 minutes and up to 60 minutes from the attendance time without permission or valid excuse,(if the delay does not disrupt other employees).	25%	50%	75%	Whole day	In the case of violations relating to work times or leaving working premises before checkout time without permission or valid excuse, the employee shall not be entitled for the wages of hours actually worked, as well as the punishment prescribed for attending delay to work or leaving the work place without permission or acceptable excuse.
6. Attending late for more than 30 minutes up to 60 minutes of attendance time without permission or valid excuse,(if the delay disrupts other employees.	50%	75%	The whole day	Day and a half	
7. Attending late for more than 60 minutes without permission or acceptable excuse,(if the delay does	It is permissible to prevent the employee from entering, and will be considered absent without permission, or allow him to enter, and deprive him from the wages equivalent to the delayed hours. In addition, the penalty				

not disrupt other employees.	prescribed for the absence without permission for the first time will be applied.				
8. Absence without permission or acceptable excuse.	25%	50%	One day	Two days	The employee to be deprived from his wages during the absence.
9. Leaving the work, leaving before the checkout time without permission or valid excuse, staying in the work premises or returning to it after the end of working hours without justification.	Written warning	25%	50%	Whole day	

Violations related to work system

Violation Type	The penalty grade and deduction rate of daily wage				Notes
	First time	Second time	Third time	Fourth time	
secondly: Violations related to work system:					
1. Exiting from the place not specified for this purpose; if the establishment's instructions require that.					
2. Hosting visitors not working at the establishment without an admin permission.					

3. Eating in a place or time other than the specified ones.	25%	50%	One day	Two days	
4. Sleeping while driving that may cause traffic accidents.					
5. Using establishment's phone for personal purposes without an admin permission.					
6. The employee's presence in other than his work place during working hours without permission.					
7. Not notifying on the changes of employee's data within one week without acceptable excuse.	50%	One day	Two days	Three days	
8. Manipulating attendance and checkout proof.	50%	One day	Two days	Three days	
9. Violating or not obeying with normal orders related to work					

Violation Type	The penalty grade and deduction rate of daily wage				Notes
	First time	Second time	Third time	Fourth time	
10. Non-implementation of the instructions relating to daily work.	One day	Two days	Three days	Five days	These instructions should be written in
11. Incitement to contravene work orders					

and written instructions.					both Arabic and English languages and kept in a visible place at the work premises.
12. Negligence or laxity in work which may result damage to the health and safety of the employees and materials and tools.					
13. Sleeping during work in cases require continuous vigilance.	One day	Two days	Three days	Dismissal with compensation	This penalty according to the provisions of paragraph (7) of Article (40) of the Labor Law No.(35/ 2003).
14. If the employee was found drunk while driving or affected by narcotic substance or psychotropic substances.	Dismissal without compensation				
15. Smoking in prohibited areas at the work premises.	One day	Two days	five days	Dismissal with compensation	That is to preserve the safety of employees.
16. Deliberately disrupts the work or negligence or stopping the car in locations not allowed for parking in order to disrupt the work.	One day	Two days	three days	five days	
17. Failure to comply the necessary instructions for the safety of the employee, goods and vehicle	Written warning	Dismissal without compensation			This penalty is according to the provisions of paragraph (7) of Article (40) of the

					Labor Law No.(35/ 2003). * These instructions should be written in both Arabic and English languages and kept in a visible place at the work premises, disobeying it may impose serious damage to work premises and employees.
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Thirdly: Violations Relating to employee conduct:

1. Entering prohibited objects or conducting commercial transactions in work premises.	One day	Two days	Three days	Five days	
2. Collecting donations or money without permission	Written warning	25%	50%	One day	
3. Writing statements or expressions or putting advertisements without permission	50%	One day	Two days	Three days	

4. Excessive consumption of raw materials without valid reason	50%	One day	Two days	Three days	
5. Using of raw materials or machines for personal purposes.	One day	Two days	Three days	Five days	
6. If the employee refuses the work assigned to him without justification, provided that does not substantially differ from his original work.	Written warning	To record the rejection/refusal in minutes, and the employee considered to be resigned from the work.			
7. Falsely claims to his bosses or colleagues which may disrupt the work	50%	One day	Two days	Three days	
8. Violating health conditions relating to work issued from competent authorities	75%	One day	Two days	Three days	
9. Refusing to deliver goods to recipients.	One day	Two days	Three days	Five days	
10. Malingering in order to delay the work					
11. Refusing medical check requested by					

the establishment without valid excuse					
12. Behaving in unpolite way at work premises	Written warning	50%	One day	Two days	
13. Uttering words which affect customs and traditions or undermine the behavior or does not respect religion or belief of others while working.	One day	Two days	Three days	Five days	
14. Fighting with colleagues, and fighting with the person in charge accompanying the car.					
15. A simple assault to bosses or any colleague in the work.	Two days	Three days	Four days	Five days	
16. Not depositing the collected money in the company account on time without valid justification.	Two days	Three days	five days	Dismissal with compensation	
17. Accepting gifts from third parties to					

provide them assistance to know the company's work strategy.	Dismissal with compensation	
18. Accepting money or gifts from any person without the knowledge of the administration to influence the employee to carry out any work relating to company damage.	Dismissal with compensation	

General Rules

1. The Employer may, if the work nature and type of his establishment require that, add any violations not included in the Regulation Form to the disciplinary regulations draft submitted by him.
2. The power to impose sanctions shall be with the employer or his legal representative.
3. The penalties that may be imposed on employees are as follows:

A	<u>The Written Warning</u> It is a written letter to the employees containing an alert of the violation committed by him, and requests him not to repeat such commitment, and inform him that he will be punished if repeated.
B	<u>Fine or Deduction of Wage</u> It is a deduction of sum of employee's wages not exceeding five days for each violation, and depriving him from the whole wages or some of it during the period of work suspension.

C	Disciplinary Suspension of work Action It is temporarily working suspension of the employee for a period not exceeding five days for each violation, and depriving him of all or part of the wages during the suspension period.
D	<u>Dismissal from the Work with Remuneration</u> It is the termination of the employee services and providing him with the end of service benefits in accordance with the restrictions of the law.
E	<u>Dismissal from the Work without initial notice and remuneration</u> It is termination of the employee services without any initial notice and end of service benefit in accordance with events provided stated in the law.

4. The penalized violations may contain fine, work suspension for more than three days or dismissal from the service and may only be imposed by the employer, managing director or authorized establishment manager.
5. It is prohibited to impose a penalty on the employee unless he has been informed in writing of what was attributed to him, listen to his statements, verify his defense and record it in minutes at his file.
6. The fine may constitute either fixed amount or an amount equivalent to the wages of that particular term.
7. The suspension penalty may be replaced by the deduction penalty.
8. The wages that basically is subject for deduction penalty, is the basic wages paid to the employee.
9. If the violation took place after six months from the previous violation, that considered to be the first.
10. The employer may increase the penalty if the violation is repeated more than four times before six months since the previous one occurred, taking into consideration the maximum limit for the penalty.
11. The regulation should specify the offense committed by the employees, its penalty and level, and the employer may not punish the employee for any offenses or impose a penalty not mentioned the regulation.
12. The regulation should include an upward penalty list.
13. The employee should not be punished for an issue committed outside the work, unless it relates to work.
14. The employee should be informed in writing about the penalty imposed on him, its type, amount and the penalty of any repeated violation. The penalty decision shall be announced in a clear location at work premises, if the employee refused to receive the penalty notification. If he was absent, a letter will be sent to the employee in writing, by taking the address from his file.

15. The penalty may not be executed before at least three days from the date notification, unless the penalties mentioned in paragraphs (3,7) of article (4) of Labor Law.
16. The employee shall have the right to appeal against the decision issuing the penalty within three days from the date of such penalty notification, provided that the grievance shall be decided within seven (7) days from the date of the submission.
17. The penalties stated in the regulation represent the maximum limit. The employer may replace them with minimum penalties,

Grievance and Complaints System

The employee shall have the right to appeal against the decision issuing penalty within three days from the date of the penalty notification, provided that the grievance shall be decided within seven (7) days from the date of the grievance submission.

Phases of Grievance Submission:

1. The employee shall submit his grievance firstly to his line manager, and to be responded within two days.
2. If employee's line manager did not respond back, or his response was not convincing, then the employee is entitled to submit his grievance to the human resource manager and response must be provided within two days.
3. If the human resource manager did not respond back to the employee, or his response is not convincing, then the employee is entitled to submit his grievance to General Manager of the establishment and the response to be provided within three days.

4. At the end of the grievance period (seven days (7) specified by the law), the employee shall have the right to seek competent department at the Ministry of Manpower, if the establishment has not replied to him or the reply was not convincing to him.

- The phases of grievance submission are not considered an excuse for absence.